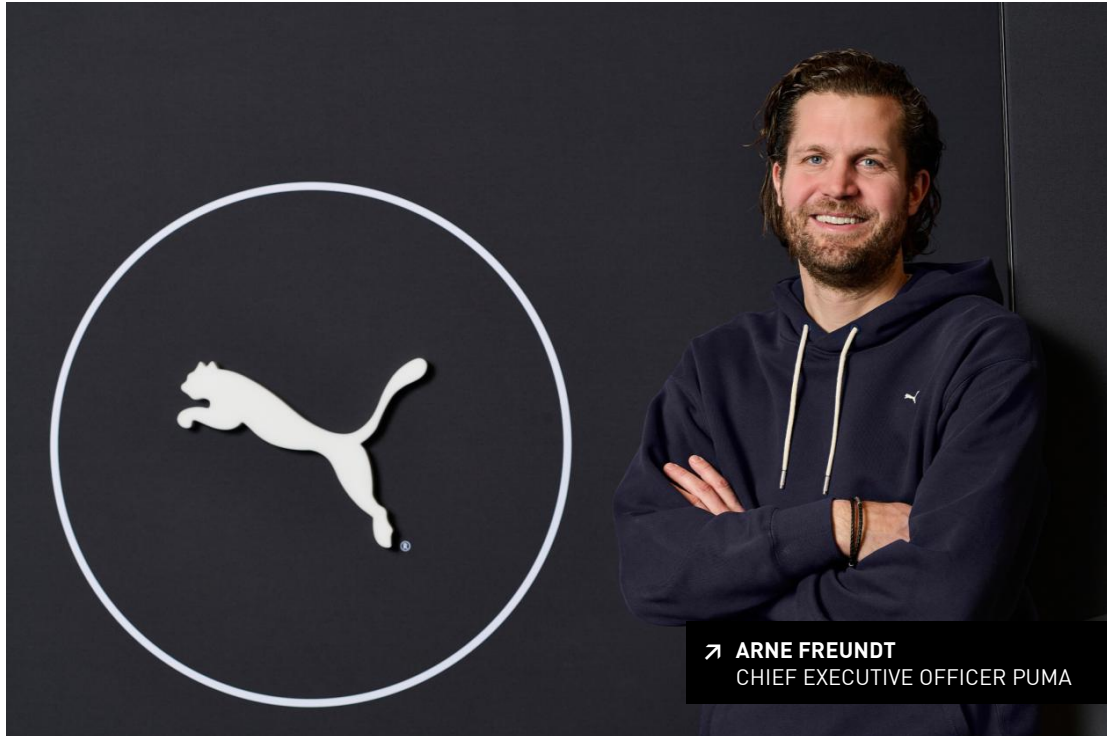




CEO-LETTER



➔ **ARNE FREUNDT**
CHIEF EXECUTIVE OFFICER PUMA

DEAR SHAREHOLDERS,

I am honored to write this letter to you for the first time as new CEO of PUMA. I have been part of the PUMA family for more than a decade, but last year has certainly been a very special one. I feel privileged that I am now leading this company with its fantastic people to take PUMA to the next level. Let me share with you the developments and successes of 2022 and give you a brief outlook on the exciting things to come.

2022 has been the **best year** in PUMA's history so far! We achieved record-breaking sales and earnings. Our revenue increased by 18.9% (ca) to € 8,465 million and our operating result (EBIT) increased by 15.0% to € 640.6 million. This success was driven by our continued brand momentum and successful product launches as well as continued trustful relationships with our athletes and partners around the globe. And even more by the dedication and hard work of our incredible PUMA family.

As 2022 has brought new challenges for all of us, the **PUMA Family** once again proved to stand by each other. Despite repeated lockdowns that particularly affected our Chinese colleagues, our people remained dedicated to keeping our production and business running smoothly. And when Russia started the war against Ukraine, we quickly set up a support program for our employees, athletes, and partners in Ukraine. Many employees have also taken initiatives themselves to support our colleagues. This makes me proud. Against this backdrop of crises, I am all the more grateful that we have managed to achieve a seamless transition in our organization and to build on the successes of the past years. On behalf of the entire Board, I would like to thank the PUMA family for this very smooth transition and for all working together every day to ensure PUMA's continued success.

Besides our strong team a huge part of the achievements was down to our **partners**. We continued to focus and to further deepen our partnerships along the whole value chain. Our objective is to build mutual



beneficial relationships which create value and innovations and make us more resilient. Under my leadership, PUMA will continue to be the best partner for our retailers, suppliers, and athletes.

At PUMA, we also aspire not only to be the best partner, but also to make our contribution towards a more **sustainable** world. It is important that we continue to make steady progress towards our 10 for 25 sustainability targets. Last year, we made 70% of our products from more sustainable materials. We also achieved important milestones in sourcing and manufacturing. I am particularly proud that PUMA has been able to reduce its emissions despite its strong growth in recent years. For our progress, we have received a lot of awards last year such as Business of Fashion naming us the most sustainable brand. For us this is a great recognition and motivation to continue the journey we have embarked on.

Our **brand** has continued to gain momentum, thanks to our commitment to quality, innovation, and the right collaborations with leading athletes and fashion icons. We have witnessed a steady increase in customer loyalty and engagement, which is a testament to the strength of our brand and the quality of our products.

We are proud to sponsor some of the world's leading football clubs like Manchester City and AC Milan, both of whom have had exceptional seasons. Our partnership with these teams has strengthened our brand presence in the world of football and enables us to expand loyalty and affinity with the fans. We were also thrilled to see Morocco become the first African team to reach the semi-finals of the football World Cup. As a brand that values diversity and inclusivity, we were honored to have played a part in this historic moment and look forward to supporting African football in the years to come. At the World Athletics Championships in Eugene, Oregon, USA, our **athletes** won numerous gold medals and set new records true to our brand mantra FOREVER.FASTER.

Besides the sports arenas, we made a successful comeback at the New York Fashion Show. FUTUROGRADE showcased a selection of looks - from both current and future seasons, as well as custom pieces - which were curated by PUMA Designer and Creative Director, June Ambrose. We have received great feedback from customers and influencers alike and are confident that our footprint in **fashion** will continue to grow and evolve.

PUMA always aims to team-up with the world's fastest athletes and most exciting cultural icons of our times to create the best and most innovative products for our athletes and customers. That is why we have also welcomed several key new PUMA **ambassadors**, including world-renowned athletes like Elaine Thompson-Herah, Nalyssa Smith, Emmanuel Korir, Mutaz Essa Barshim, and cultural icons like Skepta and Dixie D'Amelio. These individuals embody our brand values and vision and will inspire every athlete to achieve their goals and live their best lives. We are also proud that Sara Björk made a successful comeback to elite level football following her pregnancy while we closely accompanied her along the way.

For 75 years, PUMA has relentlessly advanced sport by creating the best **products** for the world's fastest athletes. In 2022, we continued to significantly improve our product offering across all business units. Our performance footwear was successful both in terms of innovation and consumer satisfaction, with the award-winning VELOCITY and DEVIATE featuring PUMA's NITRO technology. In addition to running, we saw very strong momentum in football and basketball, also driven by our great innovations, our continued high-profile collaborations and the athletic success of our brand ambassadors in last year's tournaments.

In terms of distribution and in line with our partnership strategy, we continued to focus on wholesale first. Wholesale plays a pivotal role in our strategy – not only due to their distribution reach, but also due to their retail and service excellence. I also believe that it is crucial for our consumers to have the best product offering of each brand next to each other in our wholesale partner stores. This allows our consumers to take the best purchasing decision in terms of technology, quality, design and value. I am convinced that PUMA products can compete with any competitor's product on the shelves.

Our owned and operated brick and mortar as well as eCommerce stores are complementing our distribution mix, but we don't have any ambition to replace wholesale partners with our Direct-to-



Consumer channels. In our Direct-to-Consumer channels, we will continue to focus on storytelling to educate our consumers about the strengths and width of our brand and our products.

To achieve this objective, we optimized our retail network with new store locations and flagship stores in key markets. We also launched new web shops, extending our online reach to consumers in more than 50 countries. As part of our ongoing commitment to improve the customer experience, we launched a new shopping app for our most loyal customers in selected markets, with plans to roll it out to more markets in the coming months.

Our commitment to digitalization is not limited to our channels. As part of our ongoing efforts to modernize our infrastructure, we made significant investments in digitalizing our entire business and modernizing our offices to make our internal processes even more efficient.

2022 was a successful year. We achieved the ambitious goals we set for ourselves. But we are not leaning back and continue to be hungry to gain more market share. With the market headwinds and uncertainties in the industry, 2023 will for sure be a transition year. We continued our growth trajectory in the first quarter and recorded double-digit sales growth. For the upcoming quarters, we expect a tougher trading environment and thus a softer growth trajectory. This is fully in line with our initial guidance, and we can confirm our outlook for 2023, expecting a currency-adjusted sales growth in the high single-digit percentage range and operating result (EBIT) in a range of € 590 million to € 670 million (2022: € 641 million).

For 2023 and onwards, we will continue to focus on implementing our successful strategy and put further emphasis on three strategic priorities: elevate our brand, win in the U.S., and return to growth in China.

I would like to thank all our employees for their continued hard work and dedication to the brand and our shareholders and stakeholders for supporting us on our journey.

Together with the entire PUMA family and all our stakeholders, I look forward to continuing our exciting way ahead and achieving even greater success in the future.

Arne Freundt
Chief Executive Officer, PUMA